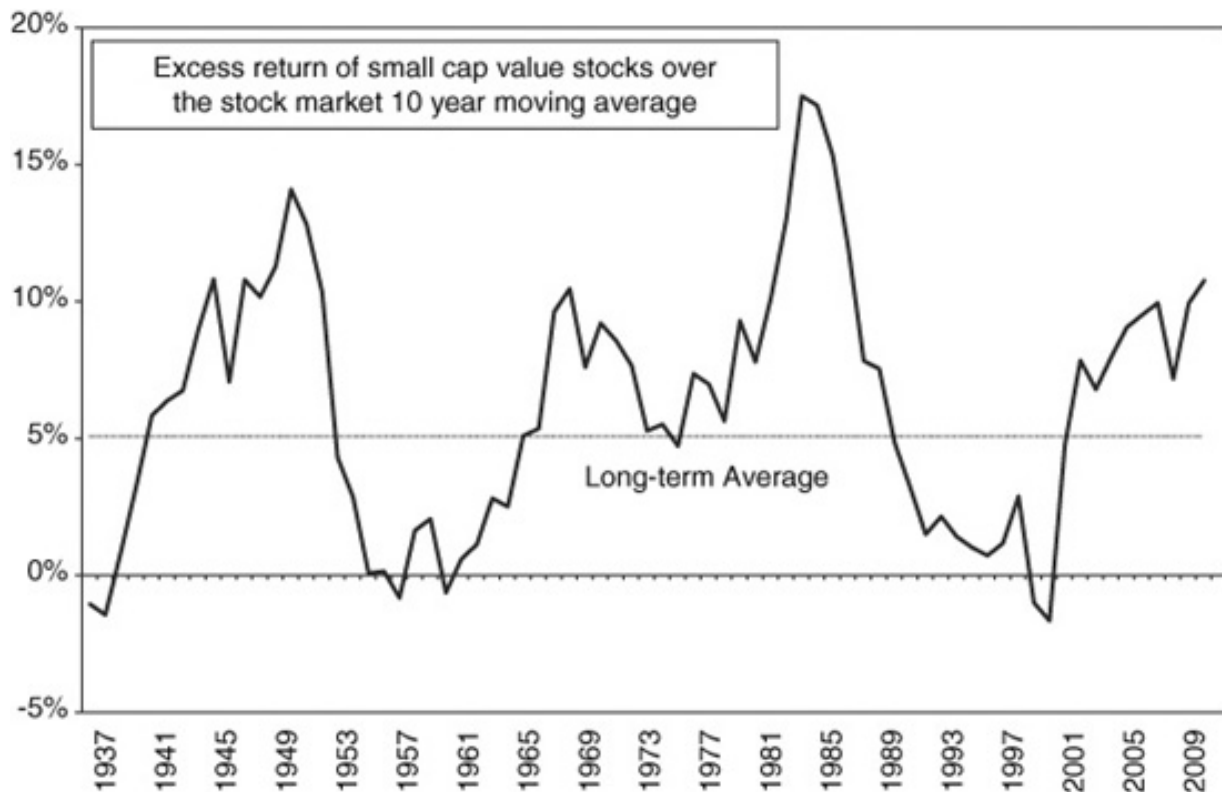


companies. [Figure 11-7](#) illustrates the rolling 10-year small-value risk premium that small-cap value stocks earned over the return on the total U.S. stock market.

FIGURE 11-7

Rolling 10-Year Small-Cap Value Premium FF Small-Cap Value Stock Return Less the Total Stock Market Return



The return premium for taking small-cap value risk has been quite large and consistent over the years. The average has been about 5 percent annualized. There have been only a few 10-year rolling periods when small-cap value stocks have not performed better than the total stock market. I'll take a conservative view on the long-term small-cap value premium over the total stock market and give it a 3 percent annualized expectation.

Small-cap value stocks = expected U.S. market return + small cap premium + value premium

AN ILLUSTRATION OF STACKING RISK PREMIUMS